

LAUNCH PLAN · NOV 2026 - OCT 2029

Rain Prediction Markets

Sports and quick-trade prediction markets with in-house market making, built for crypto-native traders worldwide.

\$20M

total funding in three steps

Feb-28

EBITDA breakeven

\$59.4M

revenue in year 3

\$18.8M

EBITDA in year 3 · 32% margin

SUMMARY

Prove the unit economics in three months, then scale on them

Rain launches its prediction-markets business in Nov-26 with a deliberately small marketing budget and its full operating team in place. The first 3 months have one job: show that paid acquisition brings in traders whose value climbs to payback.

That evidence raises the next \$5M in Feb-27 and \$12M in Jun-27. Marketing then scales from \$10K a month to \$1.2M, the business reaches EBITDA breakeven in Feb-28, and by year 3 it trades \$2.79B a year with 171K active traders.

Rain earns on every trade twice: a dynamic trading fee and the spread its own market-making desk captures, 2.1% of traded value combined, inside the range of today's leading venues.

63%

of acquisition cost recovered by month 3

Month 7

cohort payback

\$20M

total funding · peak need \$19.2M

Feb-28

EBITDA breakeven

\$59.4M

year-3 revenue

171K

active traders, Oct-29

Prediction markets are now a sports business, and the leaders earn 1–2% of every dollar traded

~\$4B

Kalshi annualised revenue, July 2026, on about \$30B of monthly volume

~80%

of Kalshi's fee-generating volume comes from sports (June 2026)

~\$1B

Polymarket annualised revenue, June 2026; sports are its largest category at ~40% of volume

What Rain builds

- **Sports markets**, pre-match and in-play, where the leading venues make most of their money.
- **Quick trades**: short-duration markets that settle in minutes to hours, bringing traders back daily.
- **In-house market making**: Rain's own desk provides liquidity and keeps the spread.
- **A global crypto-native audience**, with every country that prohibits prediction markets geo-blocked.

Why now

- Prediction-market volume grew roughly five-fold between late 2025 and April 2026.
- Sports traders already pay 10–12% to sportsbooks; Rain charges a fraction of that.
- Quick-trade formats keep traders active far more often than one-off event bets.

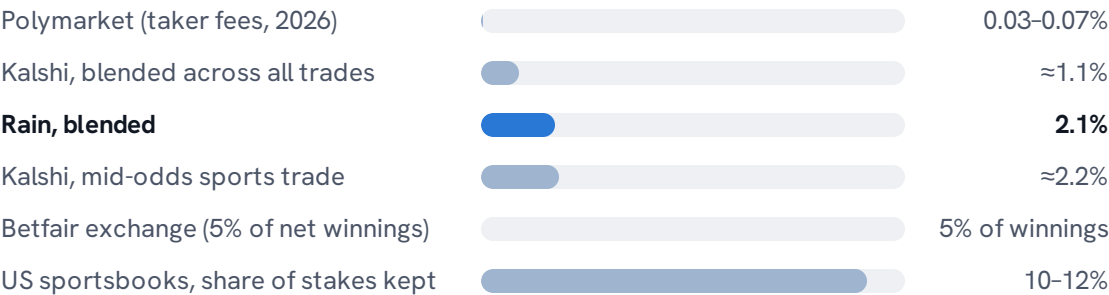
Sources: Sacra company profiles of Kalshi and Polymarket (2026); The Rio Times, April 2026; Casino Reports US sports betting database, August 2026.

Rain earns twice on every trade: a trading fee and the market-making spread

Rain's take, % of traded value	Sports	Quick trades
Dynamic trading fee (capped at 2.5%)	1.20%	1.50%
Market-making spread on Rain's own liquidity	0.80%	0.80%
Total take	2.00%	2.30%
Blended, at 60% sports / 40% quick trades	2.12%	

The desk bears the cost of making markets: trading losses are charged at 0.25% of volume, and it trades with a float of Rain's own capital (minimum \$100K, then 5% of monthly volume) that earns treasury yield while deployed. Customer balances are never used as desk capital.

Where 2.1% sits against the market



Kalshi figures from its published fee schedule (July 2026) and reported revenue on volume; Polymarket from its 2026 fee schedule; sportsbook hold from Casino Reports (2025–26).

FUNDING PLAN

\$20M in three steps, each raised on evidence from the step before

\$3M

Now · Nov-26

PROOF · NOV-26 – JAN-27

Available now. Covers the 3-month proof (Nov-26 – Jan-27) at Rain's \$900K a month operating cost base, the first market-making float and a \$10-30K a month test marketing budget.

Marketing \$10K → \$30K a month

\$5M

Round A · Feb-27

BUILD · FEB-27 – MAY-27

Feb-27, raised on three months of live cohort data. Lifts marketing to \$250K a month and carries the business to Round B.

Marketing \$250K → \$333K a month

\$12M

Round B · Jun-27

SCALE · JUN-27 – OCT-29

Jun-27 at the latest: the \$3M and \$5M run out that month. Funds the main marketing push (\$1.2M a month) and carries the business through EBITDA breakeven in Feb-28.

Marketing \$1M → \$1.2M a month

Rain's operating cost base is **\$900K a month** from day one: team, market-making desk, sports data, legal, G&A and hosting. The rounds are sized and timed so cash never runs out: the lowest point is \$118K in Jan-27, just before Round A.

THE PROOF

By month 3 a cohort has earned back 63% of its cost, and it pays back in month 7



Cost per funded trader

\$80 or less

Still trading after month 1

68% or more

Volume per active trader

\$1K/month or more

Market-making result

0.55% of volume or more

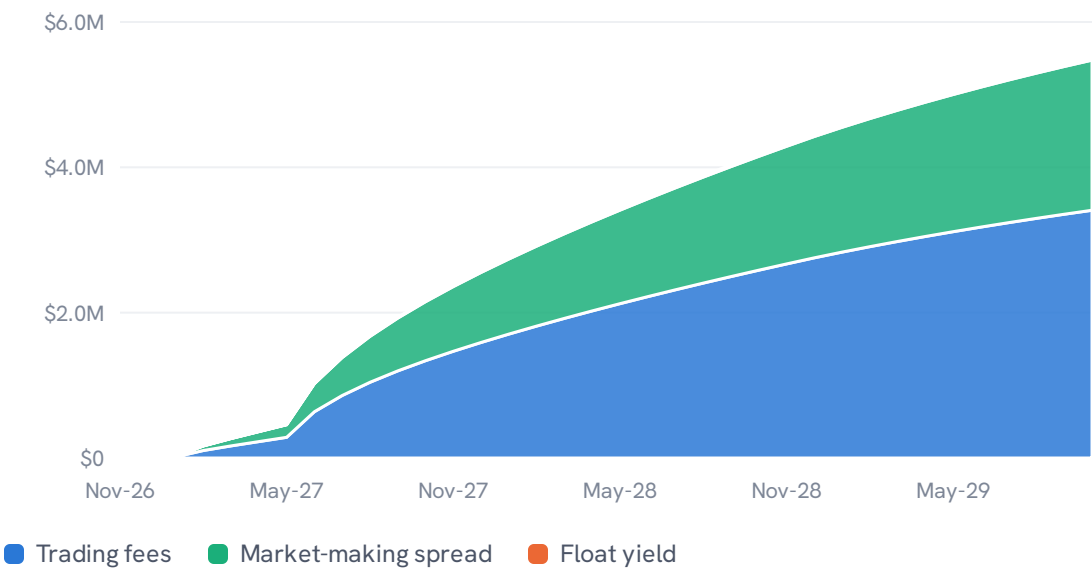
Cost recovered by month 3

63% or more

Curve = cumulative contribution of a cohort (revenue after market-making losses and all variable costs) ÷ its acquisition cost. The scorecard is what Rain reports monthly from day one; results at or above plan are the case for Round A.

Revenue reaches \$66M a year by Oct-29, from 171K active traders

Monthly revenue



Active traders

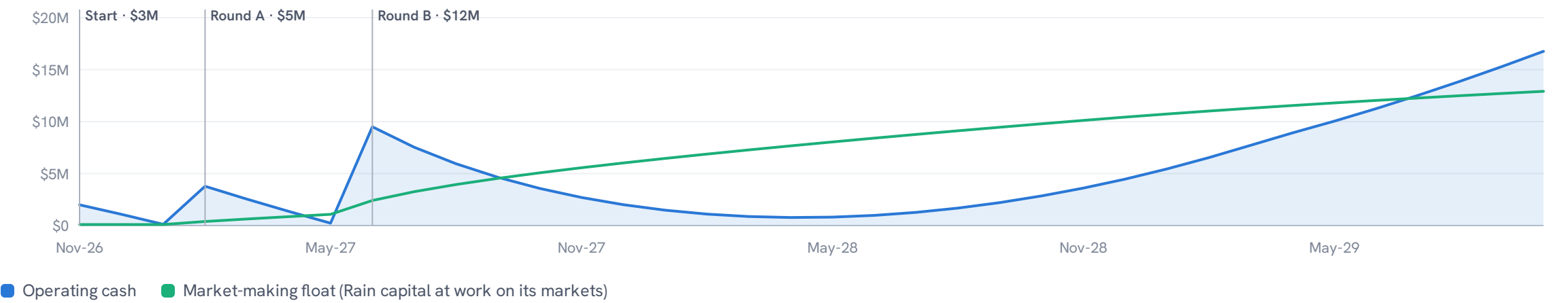


663K funded traders acquired over three years; 68% are still trading after a month, 20% after a year. Premium traders (8% of new) trade 4x the volume and stay longer.

Annual P&L: losses while marketing runs ahead of maturing cohorts, then 32% margins

	Year 1 Nov-26 – Oct-27	Year 2 Nov-27 – Oct-28	Year 3 Nov-28 – Oct-29
Traded volume	\$445.5M	\$1.87B	\$2.79B
Active traders at year end	68K	131K	171K
Trading fees	\$5.9M	\$24.7M	\$36.8M
Market-making spread	\$3.6M	\$15.0M	\$22.3M
Float yield	\$56K	\$234K	\$348K
Total revenue	\$9.5M	\$39.9M	\$59.4M
Market-making trading losses	(\$1.1M)	(\$4.7M)	(\$7.0M)
Infrastructure, payments, onboarding, support, duty	(\$1.6M)	(\$5.9M)	(\$8.4M)
Marketing	(\$7.2M)	(\$14.4M)	(\$14.4M)
Contribution after marketing	(\$409K)	\$14.9M	\$29.7M
Rain operating costs (\$900K a month)	(\$10.8M)	(\$10.8M)	(\$10.8M)
Licence fees	(\$108K)	(\$129K)	(\$129K)
EBITDA	(\$11.3M)	\$4.0M	\$18.8M
EBITDA margin	-119%	10%	32%

Funded throughout: cash never falls below \$118K, and the plan ends with \$16.8M



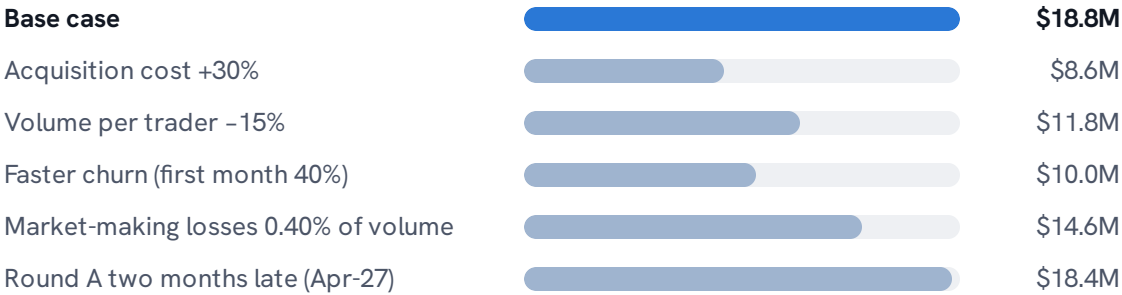
Where the money goes	Proof Nov-26 - Jan-27	Build Feb-27 - May-27	Scale Jun-27 - Oct-29
Funding received	\$3.0M	\$5.0M	\$12.0M
Revenue	\$40K	\$1.3M	\$107.5M
Marketing	(\$60K)	(\$1.2M)	(\$34.8M)
Operating, variable and market-making costs	(\$2.7M)	(\$4.0M)	(\$54.6M)
Market-making float added	(\$100K)	(\$979K)	(\$11.8M)
Net cash used (generated)	\$2.9M	\$4.9M	(\$4.5M)

STRESS TEST

The plan stays profitable in every downside, but a bad case needs \$1–3M more funding

Case	Year-3 revenue	Year-3 EBITDA	Breakeven	Peak funding need	Funding gap at \$20M
Base case	\$59.4M	\$18.8M	Feb-28	\$19.2M	none
Acquisition cost +30%	\$45.7M	\$8.6M	Jul-28	\$23.2M	\$3.2M in Sep-28
Volume per trader –15%	\$50.5M	\$11.8M	May-28	\$21.7M	\$1.7M in Jul-28
Faster churn (first month 40%)	\$47.8M	\$10.0M	Jun-28	\$21.1M	\$1.1M in Aug-28
Market-making losses 0.40% of volume	\$59.4M	\$14.6M	Apr-28	\$21.4M	\$1.4M in Jun-28
Round A two months late (Apr-27)	\$58.9M	\$18.4M	Mar-28	\$19.8M	\$1.7M in Mar-27

Year-3 EBITDA by case



The base case uses almost all of the \$20M: peak need is \$19.2M. The operating downsides open a gap of \$1.1–3.2M in mid-2028, after the \$12M is spent and before profits catch up; a two-month delay to Round A opens a \$1.7M gap in Mar-27. Cutting marketing does not close these gaps, because the \$900K monthly cost base keeps running. A contingency of about **\$3M**, as a larger final round or a standby facility, covers every case shown.

What must be confirmed before launch

Market access

No marketing to, or trading from, countries that prohibit prediction markets. Brazil banned them, sports included, in April 2026 (CMN Resolution 5298), and 28 platforms including Polymarket and Kalshi have been blocked there. The geo-block list is set by counsel and enforced at sign-up, payment and IP level.

Acquisition at scale

The plan assumes cost per funded trader holds near \$70 as monthly marketing grows from \$10K to \$1.2M. This is the assumption the proof phase tests first, channel by channel.

Licensing

The Gibraltar Prediction Market Authorisation is budgeted from Jan-27. Counsel must confirm the legal basis for operating from Nov-26 until it is granted; legal and licensing costs are carried from month 1.

Timing of rounds

Cash is tightest in Jan-27 (\$118K) before Round A, and the \$12M must close by Jun-27. A two-month slip in Round A leaves a gap of about \$1.7M.

Market making

Rain's desk earns the spread but carries inventory and adverse-selection risk, budgeted at 0.25% of volume, and needs its own capital float. Customer funds are held separately and never used to make markets.

Trader activity

Revenue rests on \$1K a month of trading per active trader. Quick-trade markets are designed to deliver it; the proof phase measures it from the first cohort.

All figures in USD. Model: playventures.app/rainpm, 36 months from Nov-26. Forward-looking figures are plan assumptions, not forecasts of results.